Question #1 of 19

Question ID: 1586731

All of the following statements in promotion of your services are in violation of CFA Institute Standards of Practice handbook EXCEPT:

A) I guarantee under my management that you will receive returns in excess of the market index average.

B) based upon my research, you will achieve a 20% compound annual rate of return on small cap stocks over the next 5 years.

C) I passed Level II of the CFA Program in 2003.

Explanation

Candidates may refer to the CFA level(s) passed and the associated dates as long as a partial designation is not implied. They may not guarantee or promise a given level of return.

(Module 42.10, LOS 42: VII(B))

Question #2 of 19

Question ID: 1586722

Which of the following statements regarding disciplinary procedures is *least* accurate?

A) A review panel is created from Disciplinary Review Committee members.

B) If the CFA member or candidate rejects the sanction, the charges and sanctions may be reviewed.

C) The sanctions imposed by the Professional Conduct staff are final and conclusive.

Explanation

In the event of misconduct by a member or candidate the CFA Institute Professional Conduct staff decides whether a violation occurred and what action to take. If the Professional Conduct staff decides a disciplinary sanction is appropriate the member or candidate may decide to reject the sanction. In this case the matter is referred to a panel of Disciplinary Review Committee members comprised of volunteer CFA charterholders. The panel decides whether a violation of the Code and Standards occurred and what sanction should be imposed.

(Module 42.10, LOS 42: VII(A))

Question #3 of 19

Question ID: 1586726

Anderson, Baker and Chang all received their CFA charters and ordered new business cards. Their business cards are as follows:

G. J. Anderson, CFA

B. K. Baker, Chartered Financial Analyst

M. S. Chang, C.F.A

Which of the business cards use the CFA marks improperly?

A) Baker and Chang.

B) Anderson and Chang.

C) Chang.

Explanation

Consistent with Standard VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program, members must use the CFA marks in a proper manner. Members may indicate "CFA" or "Chartered Financial Analyst" after their names, but the designation should not be given more prominence than that used in printing the name itself. Also, periods should not be used to separate the letters.

(Module 42.10, LOS 42: VII(B))

Question #4 of 19

Question ID: 1586729

A CFA Institute member puts the following statement on her resume: "I passed each level of the CFA exam on the first try." Is this a violation of Standard VII(B)?

A) No, because it is a statement of fact.

B) Yes, because saying she passed exams on the first try is not appropriate.

C) Yes, because she incorrectly refers to the CFA exam.

Explanation

The statement is not a violation because it is a fact. However, the member must not go on to claim superior performance.

(Module 42.10, LOS 42: VII(B))

Question #5 of 19

Question ID: 1586721

Which of the following is *least likely* a violation of the Standard concerning conduct as participants in CFA Institute programs?

A) Disregarding the rules related to the administration of the CFA examination.

B) Improperly using the CFA Designation to further professional goals.

C) Expressing opinions in disagreement with CFA Institute advocacy positions.

Explanation

Members and Candidates are allowed to express their opinions about the CFA Institute and CFA Program. Both of the other choices violate Standard VII(A) Conduct as Participants in CFA Institute Programs.

(Module 42.10, LOS 42: VII(A))

Question #6 of 19

Question ID: 1586733

Ralph Lim and Susan Bland have both passed Level I of the CFA Program. Both are currently enrolled to sit for Level II. Lim's business card reads, "Ralph Lim, CFA Level I." Bland's resume states, "Level II Candidate in the CFA Program." According to CFA Institute Standards of Professional Conduct involving use of the professional designation:

A) Bland violated the Standard, but Lim did not.

B) Lim violated the Standard, but Bland did not.

C) Both Lim and Bland violated the Standard.

Explanation

There is no designation for someone who has passed Level I, Level II, or Level III of the CFA examination. Candidates may state, however, that they have completed Level I, II, or III, as the case may be, in the CFA Program. Thus, Lim violated the Standard, but Bland did not.

(Module 42.10, LOS 42: VII(B))

Question #7 of 19

Question ID: 1586723

Nancy Arnold receives an undergraduate business degree with a management major and has completed all the requirements for the CFA designation. She is applying for employment at several brokerage firms. Her resume states, "I will soon be awarded the CFA charter by CFA Institute." Her resume also states that she and majored in finance. Arnold's statements violate:

A) only the Standard on misrepresentation.

B) both the Standards on misrepresentation and reference to the CFA designation.

C) only the Standard on reference to the CFA designation.

Explanation

Arnold violated both Standards. Misstating her college major violates Standard I(C) Misrepresentation. Stating that she expects to be awarded the CFA charter is an improper use according to Standard VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program.

(Module 42.10, LOS 42: VII(B))

Question #8 of 19

Question ID: 1586725

John Johnson, portfolio manager at Sunshine Investments, has passed all three levels of the CFA® Program and has completed his work experience requirements. He expects to receive his charter in the near future. He includes the following statement in his firm's brochure: "Johnson has passed all three levels of the exam and has completed the required work experience for the CFA Charter. He is eligible for the CFA Charter and expects to receive the charter in the near future. Over the years, he has demonstrated a superior performance and his CFA Charter will be rightfully awarded." Johnson has:

A) violated CFA Institute Standards of Professional Conduct because he implied superior performance that would be linked to the CFA Charter.

B) not violated CFA Institute Standards of Professional Conduct because he met all disclosure requirements.

C) violated CFA Institute Standards of Professional Conduct because he advertised the CFA Charter before actually obtaining it.

Explanation

According to Standard VII(B), Reference to CFA Institute, the CFA Designation, and the CFA Program, Johnson may indicate that he has completed the requirements and is eligible for the CFA charter along with an accurate explanation of the requirements. However, he may not imply that the designation would mean superior performance capabilities.

(Module 42.10, LOS 42: VII(B))

Question #9 of 19

Question ID: 1586735

All of the following situations violate Standard VII(B), Reference to CFA Institute, the CFA Designation, and the CFA Program, EXCEPT:

A) Karen Wright received her CFA charter in 1980. In 2001, she stopped paying her annual CFA Institute dues. During her retirement speech in 2002, Wright said, "Although I am no longer an active CFA charterholder, I was awarded the right to use the CFA designation in 1980 and maintained active membership in CFA Institute for 20 years." ✓

B) John Cabell has satisfied all the requirements imposed by CFA Institute for the right to use the Chartered Financial Analyst designation. His business cards say: John Cabell, C.F.A. ✗

C) Barney Latrell, when introducing himself to a prospective client, says, "I completed my CFA in 1995, which required passing three six-hour examinations over a three year period." ✗

Explanation

Wright's statement did not violate Standard VII(B). Her right to use the CFA designation was suspended when she stopped paying dues but her statement is a matter of fact. Cabell's violated Standard VII(B) because he improperly used the CFA designation on his business card. Proper usage of the CFA designation on his business card would be: John Cabell, CFA or John Cabell, Chartered Financial Analyst. Latrell violated Standard VII(B) by misstating the requirements for obtaining a charter. There is no requirement of passing the three levels of the CFA program over three years. The CFA mark must be used as an adjective. Latrell could have stated, "I was awarded the CFA charter in 1995."

(Module 42.10, LOS 42: VII(B))

Question #10 of 19

Question ID: 1586727

Judy Albert and Bob Tye, who recently started their own investment advisory business, plan to take the Level III CFA examination next year. Albert's business card reads, "Judy Albert, CFA Candidate." Tye has not put anything about the CFA on his business card. However, the firm's promotional materials describe the CFA requirements and indicate that Tye participates in the CFA program and has completed Levels I and II. According to CFA Institute Standards of Professional Conduct:

A) Both Albert and Tye have violated the Standards.

B) Albert has violated the Standards but Tye has not.

C) Neither Albert nor Tye has violated the Standards.

Explanation

On letterheads and business cards and in directory listings, only the mark CFA or the words Chartered Financial Analyst should appear after the charterholder's name.

(Module 42.10, LOS 42: VII(B))

Question #11 of 19

Question ID: 1586736

Robert Hopkins has earned the right to use the CFA designation and wants to indicate this on his business card. According to CFA Institute Standards of Professional Conduct, which of the following is the proper use of the professional designation on his business card?

A) Robert Hopkins, C.F.A.

B) Robert Hopkins, Chartered Financial Analyst.

C) Robert Hopkins, cfa.

Explanation

The CFA designation should always be capitalized and shown without periods. The CFA designation should not be referred to as a degree. Placing the designation "CFA" or "Chartered Financial Analyst" after one's name on a resume, business card, brochure, or other published material is appropriate.

(Module 42.10, LOS 42: VII(B))

Question #12 of 19

Question ID: 1586719

A CFA charterholder coaches a fellow employee as that colleague studies for the CFA exams. The charterholder tells the colleague all that she remembers from her exams and how they were constructed. This is:

A) not a violation of the standards.

B) a violation of Standard I(D) concerning professional misconduct.

C) a violation of Standard VII(B) concerning use of the designation.

Explanation

This is a violation because even though it does not necessarily compromise the integrity of the next exam, it does violate Standard VII(A) Conduct as Members and Candidates in the CFA Program. At the beginning of the CFA examination, all candidates are required to sign a statement saying they will not divulge any information regarding the exam to anyone. In this question the Code of Ethics was violated because it requires CFA candidates and CFA Institute members to act in an ethical manner.

(Module 42.10, LOS 42: VII(A))

Question #13 of 19

Question ID: 1586718

For the past 5 years, Karen Beckworth, CFA, has served as a proctor for the CFA exam. Beckworth tells her assistant, a Level III CFA candidate, that she normally receives the examinations on the Thursday before the exam. Given the low pass rate at Level III, Beckworth asks her assistant if he would like an advance copy of the next exam. Beckworth's assistant declines the offer.

Beckworth's assistant has been very vocal about expressing his opinions about the low pass rate. The assistant claims, "there are too many charterholders and CFA Institute is deliberately failing candidates because the prestige of the CFA charter is becoming diluted."

With regard to Standard VII(A) Conduct as Participants in CFA Institute Programs, which of the following statements concerning Beckworth's and her assistant's behavior is *most accurate*?

A) Neither Beckworth nor her assistant is in violation of Standard VII(A).

B) Beckworth is in violation of Standard VII(A), but her assistant is not in violation.

C) Both Beckworth and her assistant are in violation of Standard VII(A).

Explanation

Beckworth is in violation of Standard VII(A), Conduct as Participants in CFA Institute Programs. Beckworth compromised the integrity of the exam by offering her assistant an advance copy. Beckworth's assistant is allowed to express his opinion without violation of any Standards.

(Module 42.10, LOS 42: VII(A))

Question #14 of 19

Question ID: 1586732

Nichole Zeller and Randy Toffler have both passed Level II of the CFA Exam Program and have registered for Level III. Zeller circulates a resume stating that she is a candidate for the CFA designation and has passed Level II of the CFA program. Toffler circulates a resume stating that he is a CFA II. Which of the following statements is CORRECT?

A) Both Zeller and Toffler have violated the Code of Standards. ✗

B) Only Toffler has violated the Code of Standards. ✓

C) Only Zeller has violated the Code of Standards. ✗

Explanation

The Code and Standards permit an individual to state that he or she is a candidate for the CFA designation as long as the person is registered for the next CFA exam. The same individual may state the fact that he or she has passed Level I or II of the CFA program. There is no partial designation, such as CFA II.

(Module 42.10, LOS 42: VII(B))

Question #15 of 19

Question ID: 1586720

Ron Vasquez is registered to sit for the Level II CFA exam. Unfortunately, Vasquez has failed the exam the past two years. In his frustration, Vasquez posted the following comment on a popular internet bulletin board: "I believe that CFA Institute is intentionally limiting the number of charterholders in order to increase its cash flow by continuing to fail candidates. Just look at the pass rates."

With regard to the Standards concerning misconduct and conduct as participants in CFA Institute programs, Vasquez is:

A) not in violation of either Standard. ✓

B) in violation of only one of these Standards. ✗

C) in violation of both of these Standards.

Explanation

Standard VII(A) Conduct as Participants in CFA Institute Programs does not prohibit expressing opinions about the CFA program or CFA Institute. Nothing in the facts indicates a violation of Standard I(D) Misconduct, which deals with professional conduct involving dishonesty, fraud, or deceit.

(Module 42.10, LOS 42: VII(A))

Question #16 of 19

Question ID: 1586734

Which of the following statements is a violation of the Standards if it is included on a CFA charterholder's resume?

A) Earning the CFA designation indicates my desire to maintain high ethical standards.

B) To earn the CFA designation I had to pass three rigorous examinations.

C) Earning the CFA designation indicates my superior ability.

Explanation

A CFA charterholder may not make claims about how earning the designation proves superior capabilities. Acceptable statements include accurately describing the meaning of the CFA designation and the requirements for earning it.

(Module 42.10, LOS 42: VII(B))

Question #17 of 19

Question ID: 1586724

Janet Olson, CFA, is an analyst at Quantech Associates. Olson attended a conference at which Brian Wright presented several proprietary computerized spreadsheets that he had developed to value high-tech stocks. While at the conference, Olson copied the spreadsheets without Wright's knowledge. Later, Olson made several minor changes to Wright's initial model. After testing the revised model, Olson was impressed with the results. As inputs for the model, she used factual materials supplied by Moody's Investors Service, a recognized financial and statistical reporting service. Olson wrote a research report describing the revised model and its results and distributed the report to Quantech's clients. According to CFA Institute Standards of Professional Conduct, which of the following actions is Olson required to take? Olson is:

A) required to seek the authorization from Wright to copy the spreadsheets, acknowledge Wright for developing the initial model but is not required to acknowledge Moody's Investors Service as the source of the data. ✓

B) required to seek authorization from Wright to copy the spreadsheets and acknowledge Wright for developing the initial model and Moody's Investors Service as the source of the data. ✗

C) required to acknowledge Moody's Investors Service as the source of the data but is not required to seek authorization from Wright to copy the spreadsheets or to acknowledge Wright for developing the initial model. ✗

Explanation

To comply with Standard I(C) Misrepresentation, Olson should have gotten the authorization from Wright to copy the spreadsheets. The prohibition against plagiarism requires that Olson identify Wright as the source of the initial model. However, the Standard permits publishing factual information from Moody's Investors Service without acknowledgment because Moody's is recognized as a source of factual materials.

(Module 42.10, LOS 42: VII(B))

Question #18 of 19

Question ID: 1586728

Julie Stades retired several years ago and relinquished her membership in CFA Institute. She had the CFA designation up until then. She has decided to go back to work and puts the following statement on her resume: "I earned the CFA designation 10 years ago." Is this a violation of Standard VII(B)?

A) Yes, because she is no longer an active member. ✗

B) No, as long as she does not indicate she currently has the designation. ✓

C) Yes, she must state that she no longer holds the CFA designation. ✗

Explanation

Stades is allowed to state that she earned the designation as long as she does not infer that she currently has the designation.

(Module 42.10, LOS 42: VII(B))

Question #19 of 19

Question ID: 1586730

When Wes Smith first joined Advisors, Inc., he was excited that all the analysts at the firm had the CFA designation. In letters to prospective clients, he states that this ensures that Advisors can provide better service than their competitors. This statement violates the Standard on reference to CFA Institute, the CFA designation, and the CFA program:

A) only because he may not tie the CFA designation to a guarantee of better service.

B) both because he mentions the CFA designation and ties it to a guarantee of better service.

C) only because he mentions the CFA designation in the letter.

Explanation

According to Standard VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program, the analyst cannot guarantee that CFA Charterholders will provide better service. Smith can mention the fact that all analysts have the designation if this is a fact.

(Module 42.10, LOS 42: VII(B))